

Finding a Growth Channel

David Quiec – Distro, 500 Startups

About Me

- Games (Kabam), Small Business (Intuit)
- LeadGen: Insurance, Home Services, Legal, etc.
- Pillars of Customer Acquisition
 - Traffic
 - Funnel
 - Analytics / Automation

5 Guardrails to Follow

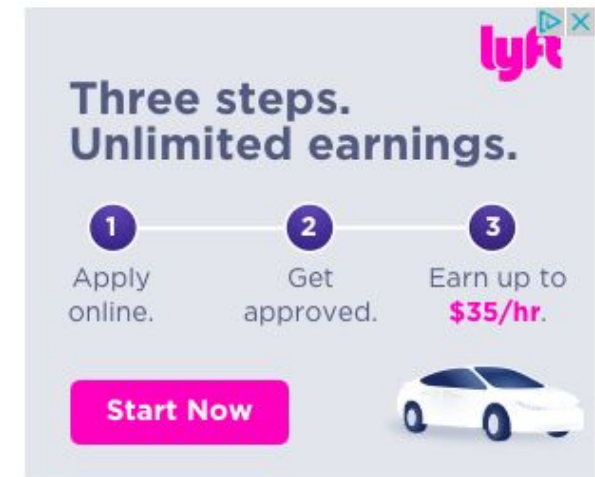
- You only need one channel, for now
- Business-Channel Fit
- Estimate your acceptable CPA
- Track to optimize
- Create operations for scale

You Can Achieve Growth with One Channel

- Channels have a lot of traffic:
 - AdWords: \$4.5B per month
 - Bing Ads: \$440M per month
 - Your monthly budget: \$5K
- Focus – each channel has its own nuances
 - Search: quality score
 - Facebook: look-alikes
 - Display: site and ad placements
- Multiple channels = spreading yourself thin
- Start with 2-3 high-volume channels to test

Business-Channel Fit

- Display
 - For: entertainment, inventions
 - Fun, low mindshare products
- Lyft, Netflix, Supercell
- GDN, Facebook ads
 - Includes video and retargeting
 - Mobile display: app installs



Business-Channel Fit

- Organic Search
 - For: directories, news sites
 - Sites with massive and updating content
- Yelp, Thumbtack, Business Insider
- Google, Yahoo, Bing

Best Japanese restaurant in San Francisco, CA - Yelp

https://www.yelp.com/search?find_desc=japanese+restaurant&find_loc... ▼ Yelp ▼
Reviews on Japanese restaurant in San Francisco, CA - Ichido, Bon, Nene, Ryoko's, Akiko's Restaurant, An Japanese Restaurant, KUSAKABE, Izakaya Sozai, ...

Best japanese restaurant San Francisco, CA - Yelp

https://www.yelp.com/search?find_desc=best+japanese+restaurant&find... ▼ Yelp ▼
Reviews on Best japanese restaurant in San Francisco, CA - KUSAKABE, Ichido, Sanraku, Akiko's Restaurant, Ryoko's, Wako Japanese Restaurant, Saru Sushi ...

Japanese in San Francisco - Yelp

<https://www.yelp.com/c/sf/japanese> ▼ Yelp ▼
The Omakase was incredible--such great flavors, so fresh. Omakase. 162 reviews. Omakase. KUSAKABE. 493 reviews. KUSAKABE. Ichido. 50 reviews. Ichido. Shizen Vegan Sushi Bar &... 574 reviews. Shizen Vegan Sushi Bar & Izakaya. Saru Sushi Bar. 626 reviews. Saru Sushi Bar.

10 Best Japanese Restaurants in San Francisco - TripAdvisor

www.tripadvisor.com › United States › California (CA) › San Francisco ▼ TripAdvisor ▼
Best Japanese Restaurants in San Francisco, California: Find TripAdvisor traveler reviews of San Francisco Japanese restaurants and search by price, location, ...

Japanese Restaurants in San Francisco | Find the Best Japanese ...

<https://www.zagat.com/c/san-francisco-ca/japanese-restaurants> ▼ Zagat ▼
Kusakabe. JapaneseDowntown\$\$\$\$ 4.8. 4.6. Sushi Ran. JapaneseSausalito\$\$\$\$ 4.7. 4.2. Wakuriya. JapaneseSan Mateo\$\$\$\$ 4.7. 4.4. Saru Sushi Bar. JapaneseNoe Valley\$\$\$ 4.7. Iyasare. JapaneseBerkeley\$\$ 4.6. Morimoto Napa. JapaneseNapa\$\$\$\$ 4.6. Osake Japanese Restaurant. JapaneseSanta Rosa\$\$\$ 4.6. Zushi Puzzle. Japanese ...

Business-Channel Fit

- Native
 - For: health & beauty, home improvement
 - Education, direct response
- Invisalign, Nutri System, SolarCity
- RevContent, Taboola, Outbrain

Paid Content Recommended by **Outbrain**

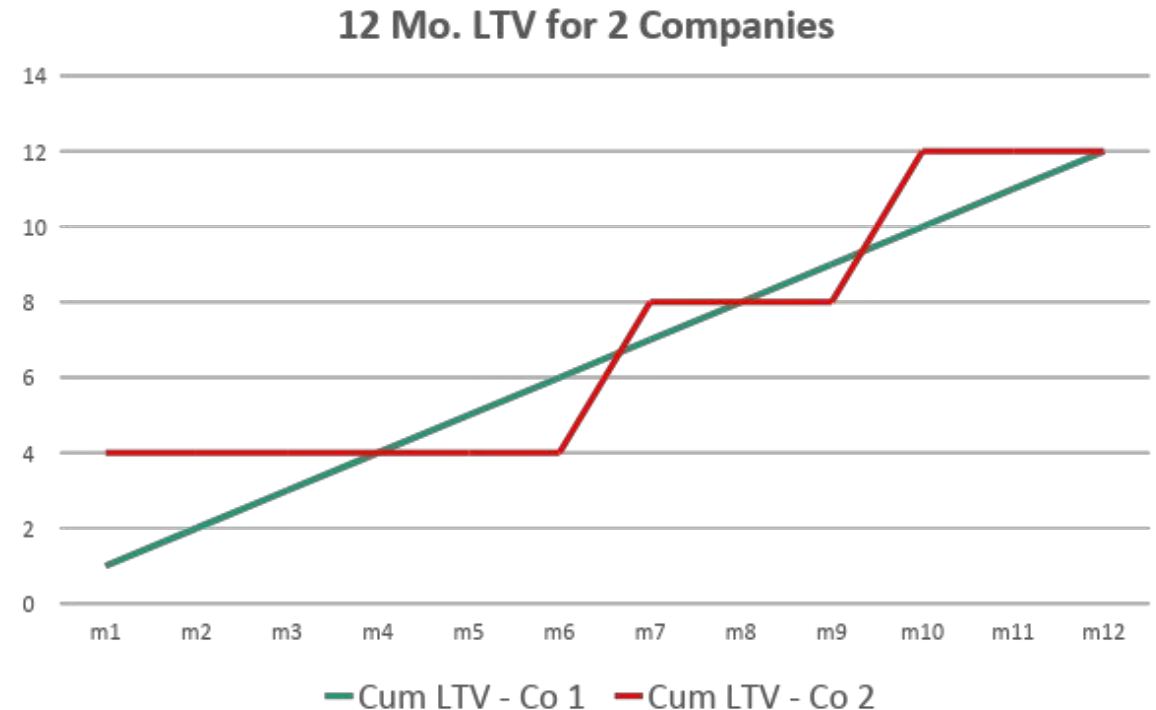
 8 symptoms you may experience during menopause <i>WomanOn by Pfizer</i>	 7 Simple Ways to Help a Friend Diagnosed with Breast Cancer <i>Reader's Digest</i>	 9 Ways Playing Musical Instruments Improves Your Life <i>Coupons</i>
 Think You Need \$5,000 to Align Your Teeth? Think Again <i>SmileDirectClub</i>	 Abusive Babysitter Exposed by Family Dog <i>Pet MD</i>	 What is an Ocular Migraine <i>Excedrin</i>

Business-Channel Fit

- Paid search: for e-commerce >> transactional, solid LTV
 - Booking.com, Amazon
- Social: for news sites, viral sites >> shareable content
 - BuzzFeed, Upworthy
- Inside sales: for SMBs, enterprise >> high-consideration, trust
 - Zenefits
- Public relations
- Influencer marketing
- Etc.

Understand Your Acceptable CPA

- Estimates OK
- Compute:
 - Profit, Margins: 1/3
 - Payback period, cash flow
- Example:
 - CPA: \$4, LTV: \$12
 - CPA Ratio = 1/3 LTV
 - Co 1 Payback = 4 Mo
 - Co 2 Payback = 1 Mo
- Faster payback: better hedge



Understand Your Acceptable CPA

- Provides cost targets across the funnel
- Example: app install signup target = \$2

Funnel	Rate	Cost Target
Per Click		\$0.32
Per Install	20%	\$1.60
Per Signup	80%	\$2.00

- Thus, cost per click = \$0.32 ... FB clicks are \$0.50 - \$1.00

Track, Track, Track ... !

- Split channels into many sub-channels
 - Search: keywords
 - Facebook: audiences
 - Display: sites
- Each sub-channel has a price and a conversion rate
- Thus, each sub-channel has its own CPA
 - Low CPA: increase bid for volume
 - High CPA: decrease bid or cut
- Not complicated: pixel on Thank You page (at least)

Operationalize Campaigns for Scale

- Create systems to automatically run & improve campaigns
- Example: bid management
 - Problem: 1000s of keywords, sites, audiences
 - Solution: Excel bidder

Step 1: Download Search Engine Report

Step 2: Upload Bids via Editor

Notes: Enter Settings (Target CPA, etc.) and Review Bids

Fixx v7 AG Google Search + Pixel - Excel

Sign in

H16

</

Operationalize Campaigns for Scale

- Example: ad creation
 - Problem: Display ads burn out regularly
 - Solution: New units every week/month from outsourcers
- Example: outbound sales
 - Problem: Creating a lead pipeline is tedious
 - Solution: Web scraper + triggered email series

Day	Activity
1	Bot scrapes Yelp for new restaurants (first review in the last month), Parses website for emails, and Uploads list to email server
2	Intro email + schedule a call
7	Follow-up email
14	50% off first 3 month offer
21	Join monthly newsletter

Review: 5 Guardrails to Follow

- You only need one channel, for now
- Business-Channel Fit
- Estimate your acceptable CPA
- Track to optimize
- Create operations for scale

Questions?

email: davidq@500startups.com